

Another danger of Bitcoin users in India is its acceptability and therefore risk to fraud. There are no known business' operating in India which accept Bitcoin as payment. Only the trading exchanges accept Bitcoin as a transaction fee. So most Indians would be considering Bitcoin as a speculative trading security which in itself poses many risks. In addition to which, the newness of the currency makes it possible for many flaws to emerge that can be its undoing, specially the risk of an ownership majority, which would allow a small group of people undue advantage of manufacturing and trading Bitcoins at high sales prices. This has almost happened with Bitcoin once before.

Speculation Knowledge

One of the features that makes people interested in Bitcoin is how it can increase in value tremendously over the past year. This radical increase in value makes it seem like a worthwhile investment which can yield significant financial results. This is true. But it is also a great risk.



Once Bitcoin is given the government's stamp of approval we will begin to see how it adapts to the Indian style.

stock traders and market analysts are able to bring an element of rationality to this gambling through research and investigation, the rules don't apply to Bitcoin. There is no such thing as a trend, primarily due to two factors - the brief existence of Bitcoin and its absolute reliance on supply and demand.

The idea behind speculation trading is simple - to buy at a low price and sell at a higher one. However, there is no guarantee of knowledge regarding when a higher price is going to come or if the value will drop instead of

Speculation trading has a long history in other analog markets such as gold, shares, bonds, derivatives and commodities. The behaviours witnessed in all these markets over decades of activity point towards certain trends that need to be considered. First and foremost of this is - speculation is identical to gambling in most respects. Although a specialised group of people such as